

Organization and Management Exam Notes

ME 708 · IV-I (BEL, BEX, BCT, BEI) · TU, IOE · tiers over 29 papers, 2065–2082 BS

3. Motivation, Leadership and Entrepreneurship

10 hrs · asked in **all 29 papers** · 3 units, 21 syllabus topics · **591 marks, 25.0% of the archive** → about 13 of every 80 marks: usually two full 8-mark questions.

READ THIS FIRST

Asked in every paper, like Ch. 1 and Ch. 2. Three blocks, each with a fixed pattern:

- Motivation** = “define motivation” (2–3 marks) + one named theory (5–6 marks). Five theories cover it: **Maslow** (9 papers), **Herzberg** (10), **Vroom** (7), **McGregor X-Y** (6), **ERG** as a comparison (6). Learn one figure or table per theory. **Content** theories (Maslow, ERG, McClelland, Herzberg) say *what* motivates; **process** theory (Vroom) says *how*.
- Leadership** = qualities of a good leader (12) or styles (11) + an opinion: “which style suits an engineering project / Nepal / a startup?”. Answer: situational, leaning democratic, with a reason for each context (§3.3).
- Entrepreneurship** = definition + characteristics (8) or “why promote it in Nepal” (7). Always tie the second half to Nepal: jobs, remittance dependence, IT.

Tier chips count **papers out of 29**: **TOP n/29** 8+ **HOT n/29** 4–7 **PIN n/29** 1–3 inside an 8-mark question **LOW n/29** 1–3, short note only **syllabus, no PYQ yet** never set. Bold year = Regular exam.

3.1 Motivation: Needs, Types, Techniques

Define motivation. What are human needs, and how is a need used to motivate? Types of motivation

2 3 4

TOP 16/29 82 Bh, 79 Bh, 79 Ba, 76 Ch, 76 Ash, 75 Ch, 74 Ch, 74 Ash, 73 Ch, 72 Ka, 71 Ch, 71 Shr, 70 Ch, 70 Asa, 69 Ch, 68 Ch · the 2–3 mark opener to nearly every theory question

- From Latin *movere*, “to move”; **motive** = need, want, drive within a person.
- Definition**: the process of **stimulating people to act** toward goals by creating conditions in which **their needs and the organization’s goals are satisfied together**.
- Forces within a person that decide the **direction, level and persistence** of effort at work.
- Two aspects: knowing human needs; inspiring people to do their best for the enterprise.

Human needs

- Primary** (physiological, safety): food, shelter, security.
- Secondary** (social, esteem, self-actualization): belonging, status, growth.
- Needs are unlimited, change over time, differ between people, and several operate at once.

Types of motivation

- Intrinsic**: from within; interest, enjoyment, sense of achievement in the task itself. “I want to complete this task.” Lasting.
- Extrinsic**: from outside; pay, bonus, promotion, fear of penalty. “Complete it and be rewarded.”
- Positive**: reward, praise, incentive (carrot).
- Negative**: fear, punishment, threat of dismissal (stick).
- Financial vs non-financial**.
- By drive (Adhikari): incentive, fear, achievement, growth, power, social.

Primary needs

Physiological: food, water, air, sleep

Safety: from harm, threat, danger

Secondary needs

Social: accepted, liked, loved

Esteem: recognition, status

Self-realization: own capability

Adhikari's six types, one line each

- **Incentive:** rewards, monetary or not, for reaching a target (bonus, promotion): the **carrot**.
- **Fear:** consequences; used when incentives fail: the **stick**.
- **Achievement:** drive for **competency**; tackle challenges, prove oneself; mostly intrinsic.
- **Growth:** burning desire for self-improvement and learning.
- **Power:** autonomy over one's own life, or control over others.
- **Social:** belong, be accepted, connect with others.
- No single type works for everyone: personalities differ.

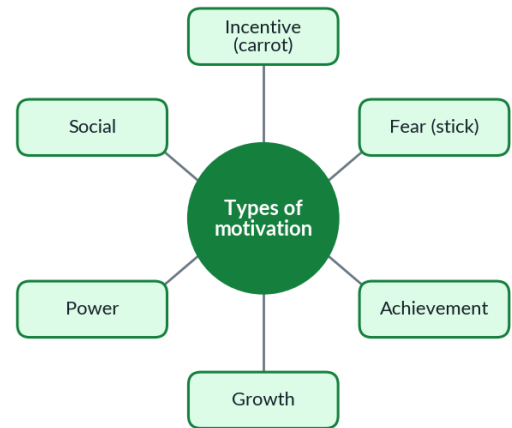
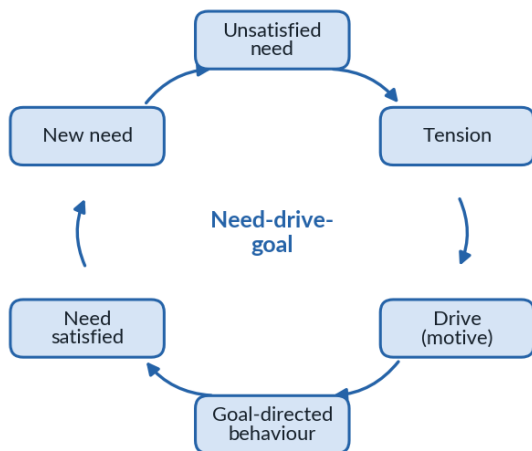
Human needs at work (Adhikari p195)

- **The worker expects:** goals to fulfil; the right to choose a job; responsibility to reach reasonable goals.
- **The manager must:** understand behaviour; merge employees' needs with the firm's objectives; know what satisfies each employee; build a co-operative climate (an unco-operative, indifferent one kills motivation).

How a need motivates: the need-drive-goal cycle

1. **Unsatisfied need** → tension.
2. Tension → **drive** (motive) to reduce it.
3. Drive → **goal-directed behaviour** (work harder).
4. Goal reached → **need satisfied**, tension falls.
5. New need appears; cycle repeats.

Manager's job: **link the employee's unmet need to the organization's goal**, so working for the firm satisfies it. A satisfied need no longer motivates.



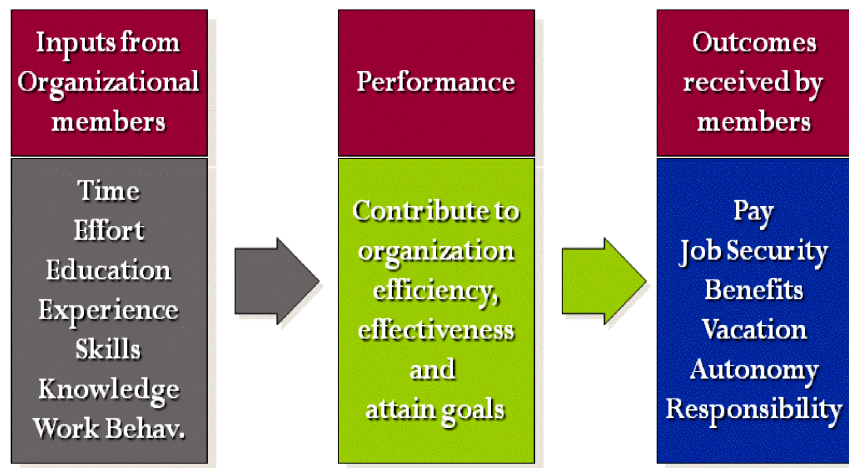
Why motivation is complex

- Same need → different behaviour in different people.
- Needs change in kind and intensity.
- People cannot always express their needs.
- Many needs act at once.

Importance

- Higher productivity and quality; better use of resources.
- Low absenteeism and turnover; fewer grievances.
- Willing acceptance of change; good relations.
- Helps employees reach personal goals.

The motivation equation: what the member gives, and gets back



Inputs (time, effort, skills) become **performance** toward the organization's goals, which returns **outcomes** the member values (pay, security, autonomy). Motivation holds only while the outcomes feel worth the inputs: the definition above, drawn. Adhikari notes, p201.

Techniques of motivation; attitude, group and executive motivation; role of management 2 3 4 5 8

TOP 9/29 82 Ba, 81 Bh, 81 Ba, 76 Ch, 75 Ash, 73 Shr, 72 Ka, 70 Asa, 69 Ch

Techniques

1. **Financial:** fair wages, bonus, incentives, profit sharing, ESOP.
2. **Meaningful, challenging work:** job enrichment, rotation.
3. **Clear targets** and measured performance (MBO).
4. **Regular, specific feedback.**
5. **Recognition and praise:** public appreciation, awards.
6. **Participation** in decisions; **delegation.**
7. **Training, career growth,** promotion.
8. **Job security,** good working conditions, quality of work life.
9. **Status,** healthy competition, flexible hours.

Role of management in motivation

- Understand each employee's needs; people differ.
- Create an environment where personal and firm goals meet.
- Fair pay system; fulfil promised rewards.
- Give information, training, feedback; act on employee suggestions.
- Lead by example; make work interesting.

Attitude (self) motivation

- How a person thinks and feels: self-confidence, belief, positive outlook.
- Falls with monotonous work, pushy boss, poor health, bad relations, money worries.
- Cure: interesting job, constructive thinking, build on strengths, adapt.

Group motivation

- Motivating a **team** as a unit; team productivity decides success.
- Needs fairness, honesty, loyalty, tolerance, shared responsibility, constructive criticism.
- Tools: team goals, group incentives, team building, social recognition.

Executive motivation

- Keeping **managerial talent** motivated and in the firm.
- Executives seek achievement, esteem, self-actualization more than money.
- Tools: challenging responsibility, autonomy, profit sharing, stock options, status perks, public recognition.
- Low when: poor boss, blocked advancement, poor pay, insecurity.

Difference (75 Ash): attitude = individual's inner state; group = team as a whole; executive = top talent, higher-order needs.

Causes of decline	Effects	Solutions
monotonous work	unwilling to work	make the job interesting
driven by boss	seeks sympathy	think constructively
bad physical condition	inferiority complex	use strong points
poor relations		adapt to the situation
money problems		sound principles of life

Self (attitude) motivation: why it falls, what it does, how to restore it (Adhikari pp204–205).

Necessities of group motivation (Adhikari)

- Fairness, truthfulness, honesty, loyalty, stability, tolerance.
- Ability to take responsibility and co-operate.
- Constructive criticism; compromise when necessary.
- Orderliness in mind and action; a sense of humour.

What motivates executives (Adhikari)

- Doing something they can call their **own**; tasks they set themselves.
- **Seeing** what they have done; feeling the job is **important**.
- Security; challenge; belief in the value of the work.
- Higher need for achievement; actualization, esteem, social needs matter more.

Financial	Non-financial
Money: wages, bonus	appraisal, praise, recognition
incentives, profit share	status and pride
ESOP	competition
	delegation of authority
	participation
	job security
	job enlargement
	quality of work life

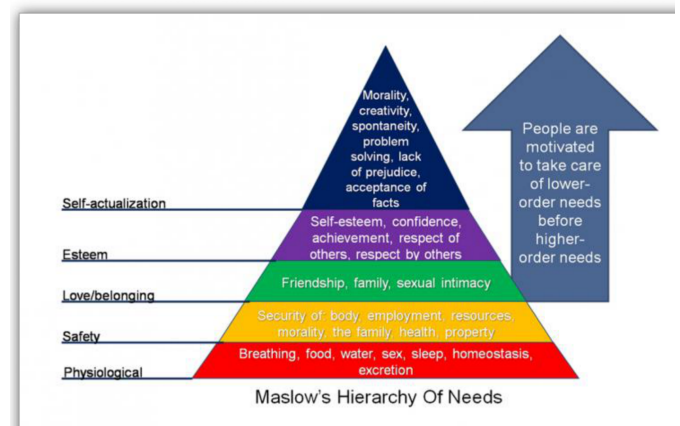
Adhikari's techniques: money is the only financial motivator in his list; eight are non-financial.

3.2 Motivation Theories

Maslow's hierarchy of needs: features, satisfaction-progression, examples 3 4 5

TOP 9/29 82 Bh, 82 Ba, 81 Bh, 78 Bh, 76 Ash, 75 Ch, 74 Ash, 70 Ch, 69 Ch

- **Abraham Maslow, 1943.** Three propositions:
 - Man is a **wanting being**: needs are endless.
 - A **satisfied need does not motivate**; only unmet needs do.
 - Needs form a **hierarchy**: lower must be largely met before higher ones motivate.
- **Five levels** (bottom up), with what the firm gives:
 1. **Physiological**: food, water, shelter, sleep → adequate wage, rest breaks.
 2. **Safety**: physical and economic security → safe conditions, job security, insurance, pension.
 3. **Social**: belonging, friendship → teams, informal groups, events.
 4. **Esteem**: self-respect, status, recognition → titles, awards, promotion.
 5. **Self-actualization**: realizing full potential → challenging, creative work, autonomy.



Maslow's pyramid. Lower needs must be met before higher ones motivate.

Adhikari notes, p197.

Satisfaction-progression process (75 Ch)

- When a need is **satisfied**, the person **progresses** to the next higher need, which now motivates.
- Eg a fresh graduate first wants a salary (physiological), then a permanent post (safety), then a good team (social), then a senior title (esteem), then to start something of their own (self-actualization).

Features and limitations

- + Simple, intuitive; widely used by managers.
- - Order is not fixed for everyone (an artist may skip safety).
- - Several needs act together.
- - Hard to measure satisfaction; culture-bound (US study).
- - Only one direction (no regression) → ERG fixes this.

Can Maslow explain Laxmi Prasad Devkota's tireless quest? (69 Ch)

- **Only partly.** Devkota wrote *Muna Madan* and his epics while in poverty, debt and grief, and kept writing on his deathbed with cancer.
- Pure Maslow says unmet physiological and safety needs should have blocked self-actualization.
- So he **contradicts the strict order**: self-actualization (creative expression, intrinsic motivation) drove him even with lower needs unmet.
- Better explained by **ERG** (needs act together) and intrinsic motivation.

Why some fall from grace while climbing the pyramid (78 Bh)

- Fraud, crime, suicide among the successful are the **irony** of the pyramid.
- **Esteem sought by any means**: status, wealth, power without ethics → corruption, fraud.
- **Frustration-regression (ERG)**: blocked at the top, people fall back to greed for material things or to despair.
- **Personal power need** (McClelland) outgrows social good.
- Pressure, isolation, loss of social support → depression, suicide.
- Maslow's own top level includes **morality**: those who fall never truly reached self-actualization, they stalled at esteem.
- Remedy: values and ethics education, social support, fair systems, counselling.

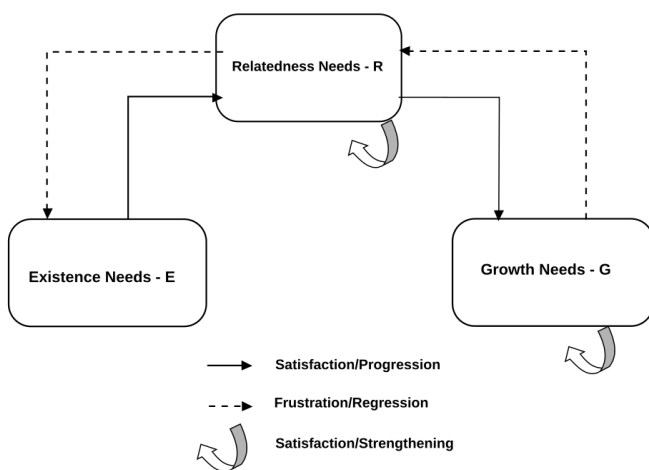
Maslow vs Alderfer's ERG; ERG and Herzberg compared with Maslow; satisfaction-progression vs frustration-regression 3 4 5 6

HOT 6/29 82 Ba, 78 Bh, 75 Ch, 71 Shr, 69 Ch, 68 Ch · satisfaction-progression vs frustration-regression as a short note in 75 Ch, 69 Ch

Alderfer's ERG theory (1969)

- Collapses Maslow's five into three:
 - **Existence:** physiological + safety.
 - **Relatedness:** social + external esteem.
 - **Growth:** internal esteem + self-actualization.
- **Satisfaction-progression:** satisfied lower need → move up (as Maslow).
- **Frustration-regression:** if a higher need is **blocked**, the person **falls back** and wants more of the lower need. Eg an engineer denied promotion (growth) demands higher pay (existence).
- Several needs can motivate **at the same time**.

Alderfer's ERG Theory



Solid arrows: satisfaction-progression; dashed: frustration-regression; curled: satisfaction-strengthening. The 75 Ch / 69 Ch short note in one picture. Wikimedia Commons (Upul, vectorized by Sushant Savla), CC BY-SA 4.0.

	Need Level	Description	Examples
Highest	Growth	Self-development, creative work	Worker continually improves skills
	Relatedness	Interpersonal relations, feelings	Good relations, feedback
Lowest	Existence	Food, water, shelter	Basic pay level to buy items

ERG levels with a work example each: basic pay (existence), good relations and feedback (relatedness), a worker who keeps improving skills (growth). Adhikari notes, p215.

Basis	Maslow	Alderfer ERG
Levels	5	3
Order	Strict, step by step	Flexible
Needs at once	One dominant	Several together
Direction	Up only (progression)	Up and down (regression)
Basis	Clinical observation	Empirical research

Herzberg against Maslow and ERG

- Herzberg's **hygiene factors** = Maslow's lower needs = ERG's existence and relatedness.
- Herzberg's **motivators** = Maslow's esteem + self-actualization = ERG's growth.
- Difference: Maslow and ERG say every need motivates when unmet; Herzberg says lower needs only **prevent dissatisfaction**, never motivate.
- Maslow and ERG: general human needs. Herzberg: **job factors**.

Maslow (5)	Alderfer ERG (3)	Herzberg (2)
Self-actualization	Growth	Motivators
Esteem	Growth / Relatedness	Motivators
Social	Relatedness	Hygiene
Safety	Existence	Hygiene
Physiological	Existence	Hygiene

The three content theories mapped level to level: why "compare ERG and Herzberg with Maslow" (82 Ba) is one table.

McGregor's Theory X and Theory Y 5 6 8

HOT 6/29 81 Bh, 81 Ba, 79 Ba, 73 Shr, 72 Ch, 65 Shr

- Douglas McGregor, *The Human Side of Enterprise* (1960): two sets of **assumptions managers hold about workers**, which shape how they manage.

Theory X (traditional)

- Average person dislikes work, avoids it.
- No ambition, avoids responsibility, prefers to be led.
- Self-centred, indifferent to organizational goals.
- Resists change; motivated only by money and fear.
- → Manager must **coerce, control, direct, threaten**: autocratic style, close supervision.

- Adhikari: McGregor showed **Theory Y managers** create more **employee engagement**.
- The lists at right are Adhikari's plain-language version: write them as two columns in the exam.
- Link: X ↔ autocratic style, close supervision, fear and punishment; Y ↔ democratic style, delegation, job enrichment.

Theory Y (modern)

- Work is as natural as play or rest.
- People exercise **self-direction and self-control** when committed.
- Commitment comes from rewards of achievement.
- They **seek responsibility**; creativity is widespread.
- → Manager **delegates, involves, enriches jobs**: democratic style.

X vs Y against the other theories (72 Ch)

- X assumes people live at Maslow's **lower needs** / Herzberg's hygiene level; fits fear-and-punishment theory.
- Y assumes **higher needs** and Herzberg's motivators drive people.
- McGregor favoured Y; modern view: situation decides (contingency).

Theory X workers	Theory Y workers
don't like working	enjoy their work
do as little as possible	work hard for rewards
resist change	want new things
need to be told	work independently
can't be trusted to decide	trusted to make decisions
only interested in money	motivated beyond money
must be closely watched	work unsupervised

Herzberg's motivation-hygiene (two-factor) theory: where motivation at work comes from 4 5 6

TOP 10/29 82 Ba, 80 Bh, 79 Bh, 78 Bh, 74 Ch, 73 Ch, 71 Ch, 68 Ba, 67 Asa, 66 Bh

- **Frederick Herzberg, 1959:** interviewed about 200 engineers and accountants in Pittsburgh on times they felt very good or very bad at work.
- Finding: **satisfaction and dissatisfaction come from different factors.** The opposite of satisfaction is **no satisfaction**, not dissatisfaction.
- Man has two sets of needs: as an animal, to **avoid pain**; as a human, to **grow psychologically**.

Hygiene (maintenance) factors: job context

- Company policy and administration; supervision.
- Salary; job security; working conditions.
- Relations with superiors, peers, subordinates; status.
- Absent → **dissatisfaction**. Present → only **no dissatisfaction**, not motivation.

As an animal to avoid pain



As a human being to grow psychologically



Herzberg's two sets of needs: as an animal, to avoid pain (hygiene); as a human, to grow psychologically (motivators). Adhikari notes, p217.

Motivators: job content

- Achievement; recognition.
- The work itself (interesting, challenging).
- Responsibility; advancement; growth.
- Present → **satisfaction and motivation**. Absent → no satisfaction (but not dissatisfaction).

So where does motivation at work come from? (80 Bh)

- From the **job itself**: achievement, recognition, responsibility, growth. Pay and conditions only remove complaints.
- Managers: first fix hygiene (else unhappiness), then **enrich jobs** to motivate.

Criticism

- Small, professional sample; people credit themselves for good events and blame others for bad (method bias).
- Pay can be a motivator for low-income workers.

Hygiene factors: pay, security, policy, supervision, conditions
Dissatisfaction ← No dissatisfaction

Motivators: achievement, recognition, work itself, growth
No satisfaction ← Satisfaction

Two separate scales, not one: fixing hygiene moves a worker only to "no dissatisfaction"; only motivators move them toward satisfaction.

Vroom's expectancy (VIE / valency) theory; why it is a process theory; importance of reward 4 5 8

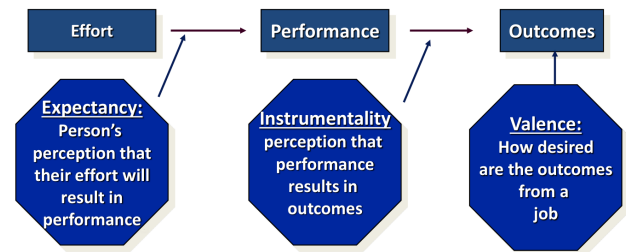
HOT 7/29 82 Bh, 80 Bh, 80 Ba, 78 Bh, 76 Ch, 74 Ch, 70 Asa · short note in 82 Bh

- **Victor Vroom, 1964.** A person chooses the behaviour they **expect** to bring the outcome they **value**.

$$\text{Motivation } M = E \times I \times V$$

- **Expectancy (E):** belief that **effort** → **performance** (0 to 1). "If I try, can I do it?"
- **Instrumentality (I):** belief that **performance** → **reward**. "If I do it, will I be rewarded?"
- **Valence (V):** **value** the person places on that reward. "Do I want it?"
- Product: if **any one is zero**, motivation is zero.
- Eg an engineer offered a Dubai posting (V high) for finishing a project early: no effort if the deadline is impossible (E low) or if the boss rarely keeps promises (I low).

- Adhikari's rule: motivation is high only when **all three** are high; if just one is low, motivation is low.
- So even a desired reward fails if the worker thinks the task impossible, or doubts the reward will follow.
- Managers must link rewards to performance and find out which outcomes each worker wants.



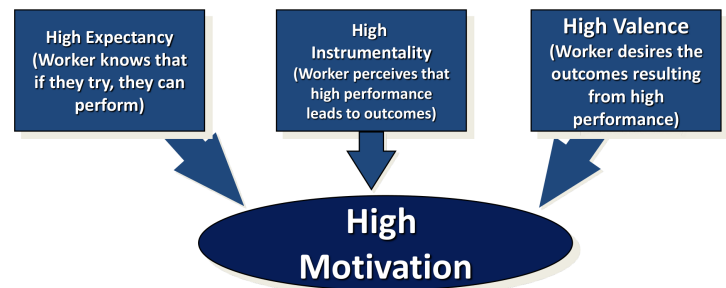
Effort → performance → outcomes, and the belief at each link. Adhikari notes, p219.

Why it is a process theory (80 Bh)

- It does not list *which* needs motivate (content theories do).
- It explains **how** a person **decides**: a mental calculation of E, I, V among alternatives.

Importance of reward (74 Ch)

- Reward sits in two of three terms: it must be **valued** (V) and **reliably linked** to performance (I).
- Managers: offer rewards people want; keep promises; make targets reachable by training and resources (E).

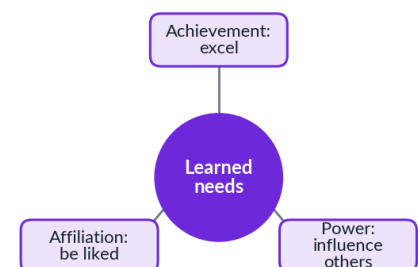


High expectancy, instrumentality and valence together give high motivation. Adhikari notes, p221.

McClelland's theory of learned needs

syllabus, no PYQ yet

- David McClelland (1961): needs are **learned** from life experience, not inborn; everyone ranks them differently.
- **Achievement (nAch):** drive to excel; moderate risks, want feedback, personal responsibility → entrepreneurs.
- **Power (nPow):** make others behave as they otherwise would not; personal or social (institutional) power → managers.
- **Affiliation (nAff):** friendly, close relations; avoid conflict → team roles.
- Each need has its own work preferences → managers **tailor the environment**: high achievers get responsibility, feedback, intermediate risk.



Fear and punishment theory 4

LOW 1/29 82 Bh · short note

- People work to **avoid penalties**: warnings, fines, demotion, dismissal. Linked to Theory X and Skinner's reinforcement (punishment, negative reinforcement).
- **Deterrence**: specific (corrects the offender), general (warns others).
- Works short term for discipline, safety rules.
- Causes resentment, fear, minimum effort, turnover; use only as a last resort.

General deterrence	Specific deterrence
punishment is public	aims at the offender
aims at everyone else	correct the behaviour
deter future deviance	stop repeat offences

3.3 Leadership

Define leadership. Why is it needed? Qualities of a good leader 3 4 5 8

TOP 12/29 81 Bh, 81 Ba, 80 Bh, 78 Bh, 76 Ch, 75 Ash, 74 Ash, 73 Ch, 72 Ka, 70 Ch, 70 Asa, 68 Ch

- **Leadership**: the process of **influencing people** to work willingly toward group or organizational goals, and providing an environment for it.
- Koontz: "the art or process of influencing people so that they strive willingly and enthusiastically toward the achievement of group goals."

Why needed

- Gives **vision and direction**.
- **Motivates**, builds morale and confidence.
- Coordinates effort; resolves conflict.
- Leads **change**; builds culture and teamwork.
- Represents the group; develops future leaders.

What is leadership?



Qualities of a good leader

1. **Vision**: knows where to go, sets achievable goals.
2. **Honesty, integrity**: same inside and out; trust.
3. **Self-confidence**, courage, decisiveness.
4. **Communication**: clear speaking, writing, **listening**.
5. **Human skill**: respect, fairness, empathy; credit to others.
6. **Initiative and innovation**.
7. **Knowledge**, intelligence, judgement.
8. **Discipline**, commitment to excellence; leads by example.
9. **Emotional stability**, patience, sense of humour.
10. **Calculated risk-taking**; learns from mistakes.
11. **Charisma**, passion.
12. **Adaptability**: changes style with the situation.

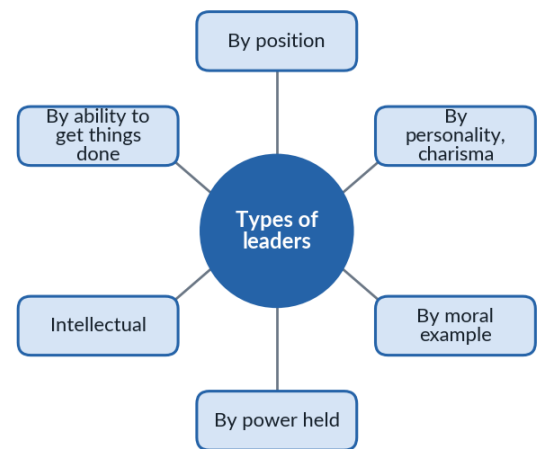
Leadership is leading, influencing, commanding and guiding people. Adhikari notes, p224.

What sets a leader apart from regular employees (80 Bh)

- Vision beyond own job; takes initiative unasked.
- Owns results, including failures.
- Influences without formal authority; others follow willingly.
- Develops others; thinks of the team first.

Adhikari's qualities, with his meaning

- **Guiding vision:** knows what to do; pursues it against opposition and failure; sets achievable goals.
- **Passion:** believes in the goals; positive outlook others follow.
- **Integrity:** knows own weaknesses; promises only what can be kept.
- **Honesty** at work and in private life; **trust:** acts for followers.
- **Curiosity:** a learner; **risk:** calculated, learns from mistakes.
- **Dedication;** **charisma:** maturity, respect, compassion, humour.
- **Listening:** "the most important attribute of all".

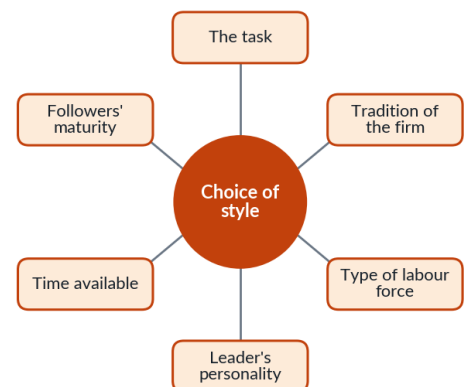


Types of leaders by the source of their lead (Adhikari p225).

Leadership styles (autocratic, democratic, free-rein); which style suits an engineering project, industry, Nepal, a startup? 2 3 4 5 6 7 8

TOP 11/29 82 Ba, 80 Ba, 78 Bh, 75 Ch, 74 Ash, 73 Ch, 72 Ch, 68 Ch, 68 Ba, 67 Asa, 65 Shr · "leadership style" short note in 68 Ba · **opinion half every time**

- **Style** = the behaviour pattern a leader adopts; depends on the leader's personality, followers, task, tradition, time available.
- **Factors affecting style** (Adhikari p239): the task; the tradition of the organization; the type of labour force; the leader's personality; the time available (Adhikari also asks "gender?": research finds style differences small and situational).
- Autocratic in Adhikari: leader decides alone, trusts only own competence, decides fast; good for urgent tasks and military action; poor decisions and low motivation otherwise.
- Democratic: participation, co-operation, delegation as far as experience allows, leader keeps final responsibility; better decisions, motivation; slow.



- **Autocratic (authoritarian):**
 - Leader decides alone, gives orders, expects obedience; one-way communication.
 - + quick decisions, clear control; suits emergencies, unskilled or new staff, military.
 - – low morale, no creativity, dependence on one person, resentment.
- **Democratic (participative):**
 - Leader consults, decides with the group; praise and blame shared; two-way.
 - + better decisions, commitment, morale, creativity; usually most productive.
 - – slow; needs capable, willing followers.
- **Laissez-faire (free-rein):**
 - Leader gives goals and freedom; group decides and self-controls.
 - + suits experts, researchers; high autonomy.
 - – no direction, chaos with inexperienced staff.
- Others: **paternalistic** (fatherly care), **bureaucratic** (by rules), **transformational** (inspires change), **transactional** (reward-punishment).

Which style for a (modern) engineering project? (78 Bh, 74 Ash)

- **Democratic / participative** as the base: engineers are skilled professionals; design choices gain from many views; commitment matters over months.
- **Autocratic** moments: safety, deadlines, site emergencies.
- **Free-rein** for expert sub-teams (design, R&D).
- → **Situational leadership**, democratic by default.

Most effective style in an industrial organization (80 Ba, 68 Ba, 67 Asa)

- Determine it by: task structure, followers' skill and maturity, leader's power, time pressure (Fiedler, Hersey-Blanchard).
- Shop floor, routine work, new workers → directive; skilled staff → participative; experts → delegating.
- Most effective overall: **team (9,9) style** on Blake-Mouton's grid.



Power, decision making and communication under the three styles.

Adhikari notes, p238.

Participative management (65 Shr)

- Employees share in decisions: suggestion schemes, quality circles, work committees, worker directors.
- Importance: commitment, better ideas, fewer disputes, job satisfaction.

Most efficient in Nepal? (73 Ch)

- Tradition is autocratic and paternalistic (hierarchy, respect for seniority).
- Educated young workforce, migration of talent → **democratic with a paternalistic touch** works best: consult, care for welfare, decide firmly.
- Government offices need less bureaucracy and more participation.

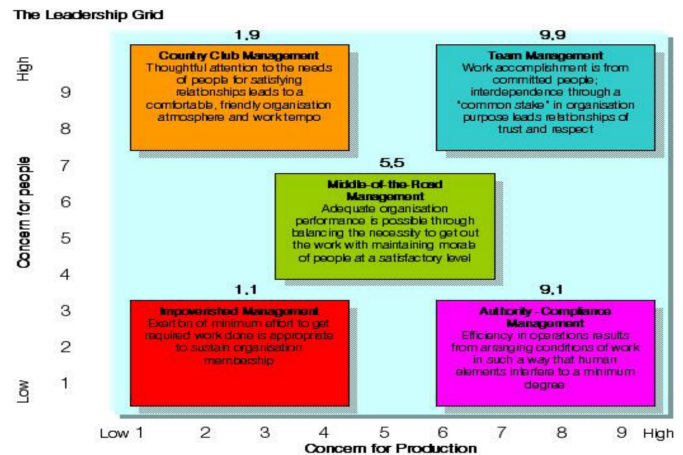
Nepalese start-ups (82 Ba)

- Small teams of young, skilled people, fast change, scarce funds.
- Best: **democratic + transformational**: shared vision, open ideas, quick consensus, ownership (ESOP), freedom for experts.
- Founder must switch to decisive (autocratic) mode in a cash or deadline crisis.

Blake and Mouton's managerial grid: styles, examples, significance for growth 4 5 8

HOT 6/29 82 Bh, 80 Bh, 79 Ba, 76 Ash, 75 Ash, 70 Ch

- Robert Blake and Jane Mouton (1964). Two axes, each 1 (low) to 9 (high): **concern for production (x)** and **concern for people (y)**.
- Five key styles:
 - **(1,1) Impoverished**: minimum effort for either; avoids blame. Eg a manager waiting for retirement.
 - **(1,9) Country club**: comfort and friendliness, weak output. Eg a boss who never enforces deadlines.
 - **(9,1) Authority-compliance (task)**: output through rules and pressure, people ignored. Eg a sweatshop supervisor.
 - **(5,5) Middle of the road**: balance, adequate results, neither fully met.
 - **(9,9) Team**: high on both; commitment, trust, shared stake. Eg an agile software team lead.



The leadership grid: concern for production vs concern for people. Adhikari notes, p241.

Significance for organizational growth (76 Ash)

- Diagnoses a manager's present style objectively.
- Shows the target: move toward (9,9).
- Basis for leadership training (grid seminars).
- Shows people and production are not a trade-off: both together raise productivity and morale → growth.

Leadership approaches / theories: trait, behavioural, contingency (situational), integrated 4 5 8

HOT 7/29 79 Ba, 76 Ch, 75 Ch, 75 Ash, 69 Ch, 66 Bh, 65 Shr · contingency approach of leadership as a short note in 66 Bh

Trait approach

- Leaders are **born, not made** (Great Man theory).
- Identifies traits of effective leaders: drive, leadership motivation, honesty, self-confidence, intelligence, business knowledge, self-monitoring.
- No trait list fits all leaders; ignores followers and situation.

Behavioural approach

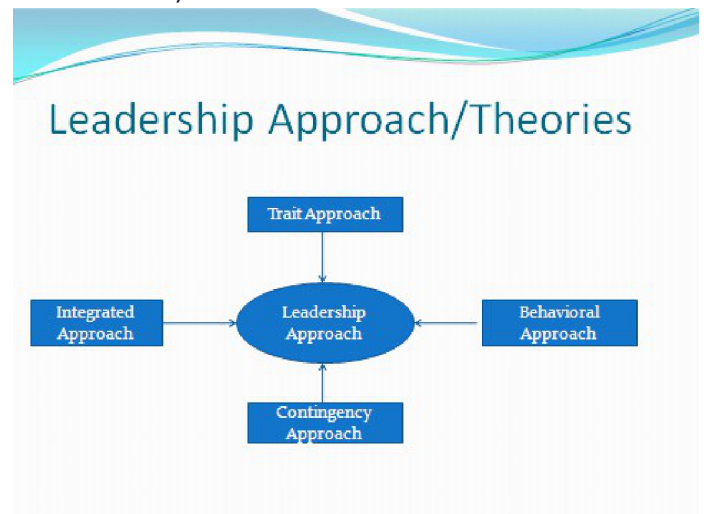
- Leaders are **made**: what they **do** matters, and can be learned.
- Two independent behaviours: **task-oriented** (assign, set standards, push deadlines) and **people-oriented** (trust, respect, welfare). Ohio State and Michigan studies; Blake-Mouton grid.
- Effective leaders score high on both.

Contingency / situational approach

- **No one best style**: it depends on leader, followers and situation.
- **Fiedler**: task- or relationship-motivated leader fits situations of different favourableness (leader-member relations, task structure, position power).
- **House's path-goal**: leader chooses **directive, supportive, participative or achievement-oriented** behaviour to clear the path to goals.
- **Hersey-Blanchard**: telling, selling, participating, delegating as follower maturity rises.

Integrated approach

- Combines **leader** (traits, behaviour, experience), **followers** (ability, maturity) and **situation** (structure, technology, objectives, environment) to choose the effective style. Most realistic.



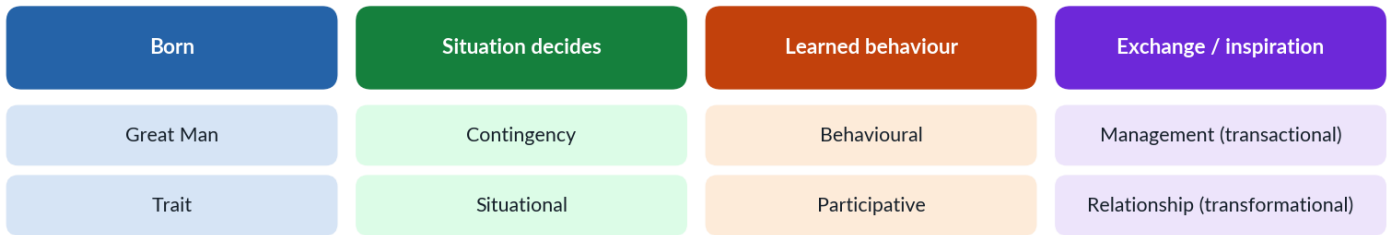
The four approaches around one hub. ienotes Ch. 3, p13.

Adhikari's three approaches (write if the question says "approach")

- 1. Trait-oriented**: leaders born, not made; more intelligent, better educated, stronger power needs, independent, take some risks, self-actualized, hard working, self-confident.
- 2. Situational**: leadership is a function of the situation, culture, context and customs of the group.
- 3. Functional**: considers both the individual and the situation; the leader must solve the task problems.

Adhikari's eight leadership theories

- 1. Great Man**: born to lead; heroic, destined; "man" because leadership was then seen as male, military.
- 2. Trait**: inherited traits (extraversion, self-confidence, courage).
- 3. Contingency**: environment variables decide the best style; none best everywhere.
- 4. Situational**: choose the action by situation (authoritarian when the leader knows most; democratic with skilled experts).
- 5. Behavioural**: leaders are **made**; learnable by teaching and observation.
- 6. Participative**: takes others' input; leader keeps the right to decide.
- 7. Management (transactional)**: supervision, organization, group performance; rewards and punishments.
- 8. Relationship (transformational)**: inspires by showing the higher good of the task; wants each member to fulfil potential; high ethics.



The eight theories in four families.

Leader vs manager; boss vs leader; “a reader is a leader”; challenges for a modern leader; you as a future leader 2 3 4 5 8

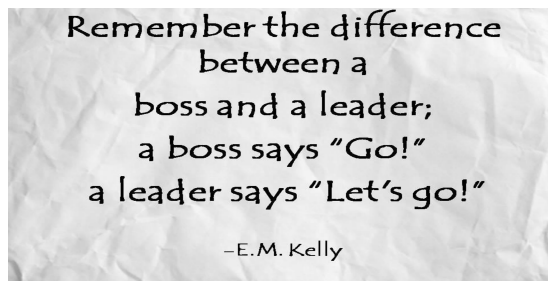
HOT 4/29 75 Ch, 75 Ash, 73 Ch, 71 Ch

Basis	Manager	Leader
Power from	Position (authority)	Personal influence
Focus	Things, systems, control	People, vision, inspiration
Motto	Do things right	Do the right things
Work	Plan, organize, budget	Set direction, align, motivate
Change	Maintains order	Drives change
Followers	Subordinates	Followers

A good manager should be a leader; a leader need not be a manager.

Boss vs leader (73 Ch)

- **Boss** = autocratic style: commands, uses fear, takes credit, blames, says “I”.
- **Leader** = democratic / transformational style: guides, inspires, shares credit, owns failure, says “we”.



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“A reader is a leader” (71 Ch)

- Reading builds **knowledge** (expert power), **vision**, **judgement** from others’ experience, and **communication**.
- Informed leaders can switch styles wisely: consult as a democrat, decide as an autocrat when needed.
- Eg Gandhi, Mandela, Gates: lifelong readers.

Challenges for a modern leader (75 Ch)

- Rapid technological change; remote and diverse teams.
- Talent retention (migration in Nepal); ethics, transparency.
- Uncertainty (pandemic, politics); information overload.

Me as a future leader (75 Ash, 75 Ch)

- Start as a technically strong engineer; build human skills.
- Lead by example, listen, share credit, keep learning.
- Aim for a (9,9) team style, adapting to the situation.

Managers vs leaders, function by function (Adhikari pp226–231)

- Both do the **same four activities**: planning, organizing, directing, controlling. They do them differently (right).
- Manager: focus on things, do things right, follows the rules.
- Leader: focus on people, do the right things, inspires, shapes entities.

Manager

- *Planning*
- *Budgeting*
- *Sets targets*
- *Establishes detailed steps*
- *Allocates resources*

Planning



Leader

- *Devises strategy*
- *Sets direction*
- *Creates vision*

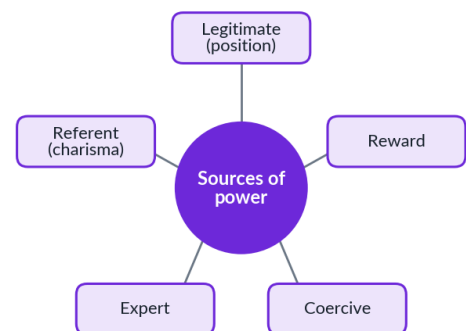
	Manager	Leader
Planning	budgets, targets, detailed steps, allocates	strategy, direction, vision
Organizing	structure, job descriptions, staffing, delegates	gets people on board; communicates, networks
Directing	solves problems, negotiates, builds consensus	empowers people; cheerleader
Controlling	control systems, measures, fixes variances	motivates, inspires, sense of accomplishment

Planning: the manager budgets and sets targets; the leader devises strategy and vision. Adhikari notes, p228.

Authority and power 5

PIN 1/29 66 Bh

- **Authority**: **legitimate right** to command, from the position; flows downward; accepted as rightful.
- **Power**: **ability to influence** behaviour, from any source; can exist without authority.
- French and Raven's sources of power: **legitimate** (position), **reward**, **coercive** (punish), **expert** (knowledge), **referent** (personal charisma). Leaders rely most on expert and referent power.



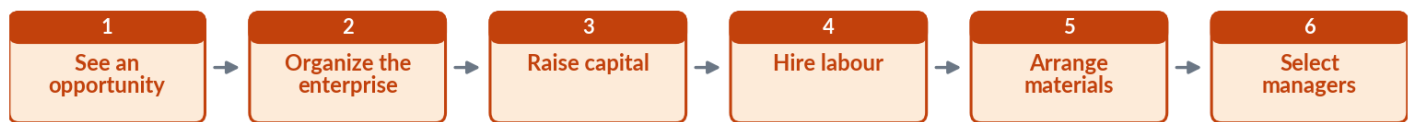
3.4 Entrepreneurship

Entrepreneurship: meaning, development, characteristics of an entrepreneur 3 4 5 8

TOP 8/29 79 Bh, 76 Ch, 75 Ash, 74 Ash, 72 Ch, 71 Shr, 70 Asa, 69 Ch · entrepreneurial characteristics as a short note in 79 Bh

- From French *entreprendre*, “to undertake”.
- **Entrepreneurship**: the capacity and willingness to **spot an opportunity, organize resources and run a new venture, bearing its risk**, for profit and value.
- **Schumpeter**: entrepreneurs are **innovators**: new products, new methods, new markets, new sources of supply, new organization.
- Functions: see opportunity, organize enterprise, raise capital, hire labour, arrange materials, select managers, bear risk.
- **McClelland**: a nation's growth depends on its people's need for achievement more than on natural resources.
- The word first meant an organizer of musical or other entertainments; from the early 18th century it meant business.
- **Schumpeter**: “Entrepreneurs are business leaders and not simple owners of capital. They are men of vision, drive and talent, who spot out opportunities and promptly grasp them for exploitation.”

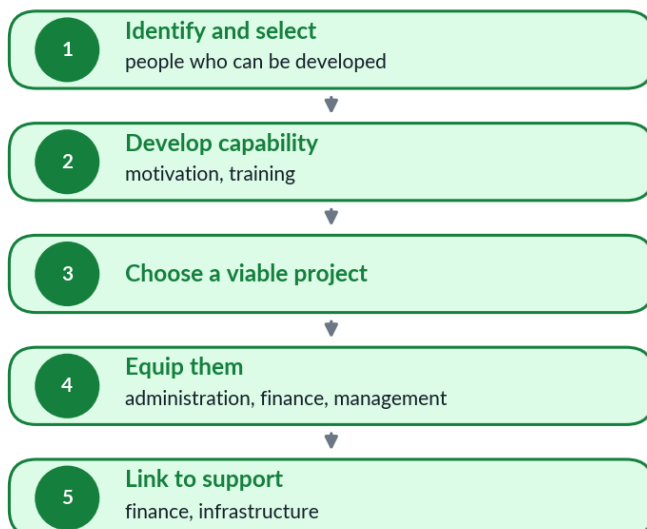
Functions of an entrepreneur (Adhikari)



Entrepreneurship development

- Entrepreneurs are **made**: Entrepreneurship Development Programmes (EDPs).
- Steps: identify potential people → build capability (motivation, training) → help choose a viable project → teach management, finance → link to finance and infrastructure.
- Factors influencing it (Adhikari): components of creativity (need for achievement, independence, power; family background); originality; flexibility; fluency; sensitivity to problems and the ability to redefine them.

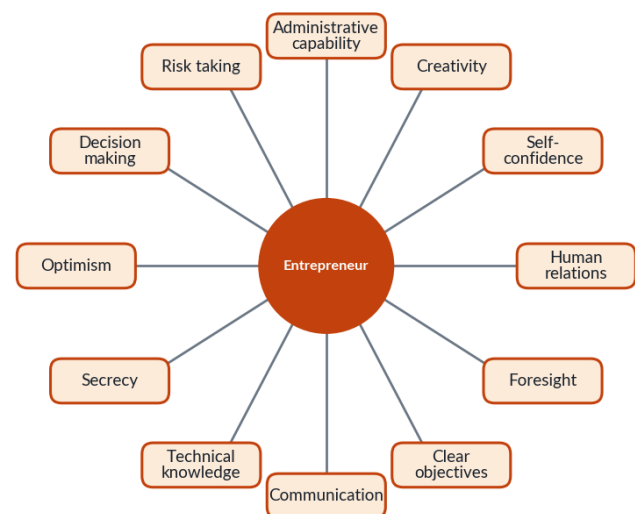
Entrepreneurship development programme



Characteristics of an entrepreneur

1. **Initiative** and self-starting.
2. **Opportunity seeking**; foresight.
3. **Calculated (moderate) risk-taking**: not a gambler.
4. **Creativity and innovation**.
5. **High need for achievement**; competitive.
6. **Self-confidence**, optimism.
7. **Commitment, persistence**: learns from failure.
8. **Decision making**; administrative ability.
9. **People skills**, communication, leadership.
10. **Technical and business knowledge**.
11. **Hard work**, discipline, strong work ethic.
12. **Flexibility**; handles uncertainty.

Adhikari's list of 12 (short-note version, 79 Bh): administrative capability, creativity, self-confidence, human relations, foresight, clarity of objectives, communication, technical knowledge, secrecy, optimism, decision making, willingness to take risk (figure).



Steps for establishing a small scale unit 4 5

PIN 3/29 81 Bh, 79 Bh, 71 Shr

1. **Self-assessment:** will, skills, risk appetite.
2. **Product / service identification:** market research, competition, demand.
3. **Feasibility study and project report:** technical, market, financial.
4. **Form of ownership:** sole, partnership, private limited.
5. **Location:** raw materials, market, transport, labour, power, water, waste disposal.
6. **Registration and approvals:** Department / Office of Cottage and Small Industries (Nepal), PAN / VAT, local ward, environmental clearance.
7. **Finance:** fixed capital (land, building, machines) + working capital; own funds, bank loan, government subsidized loans.
8. **Land, building, machinery;** utility connections.
9. **Recruit and train** manpower.
10. **Raw material** arrangement; **production** layout, trial run, quality control.
11. **Marketing:** pricing, distribution, promotion.
12. **Monitor and improve** the plan at every stage.

Adhikari's walk-through, in his order

- Describe the industry; decide corporation, proprietorship or partnership.
- Describe the product or service; research the market and the competition.
- Choose the location: raw materials, labour, transport.
- Arrange finance: own funds or a loan; check government aid; plan repayment.
- Production management: space for each operation, production methods, quality testing; buy machinery; hire staff.
- Marketing and advertising (online directories, traditional media); price with the profit margin in mind.
- Plan ahead; assess and improve the plan at every stage.
- Why small units: easy to set up, create jobs, can produce export-quality goods (India's example).



Need for promotion of entrepreneurship; its role in economic development; importance for Nepal; conducive environment and law enforcement 4 8

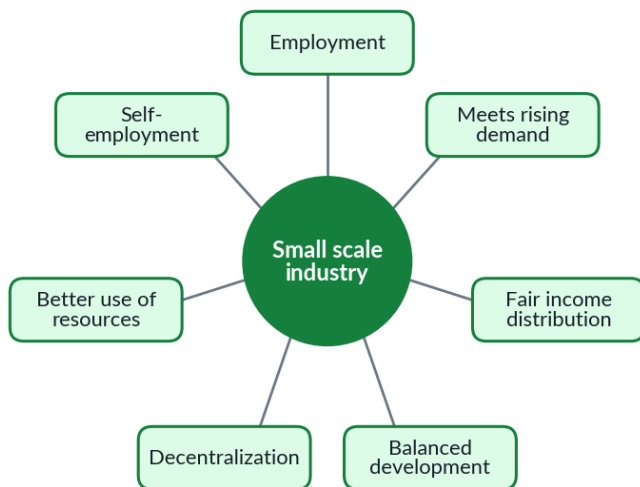
HOT 7/29 82 Bh, 82 Ba, 81 Ba, 79 Ba, 75 Ash, 73 Ch, 73 Shr

Role in economic development / why promote

- **Employment** and self-employment.
- **Capital formation:** mobilizes idle savings.
- **Innovation**, new products, technology.
- **Balanced regional development;** decentralization.
- **Equitable income distribution.**
- **Exports**, import substitution → foreign exchange.
- Better use of local resources; higher GDP and tax revenue.
- Raises living standards; inspires others.

Why Nepal and its government must promote it

- Over a million youths leave for foreign jobs; remittance-dependent economy.
- Huge trade deficit; low industrial base.
- Unused resources: hydropower, tourism, agriculture, herbs, IT.
- Tools: startup loans, incubation, tax holidays, one-window registration, skills training, access to credit.

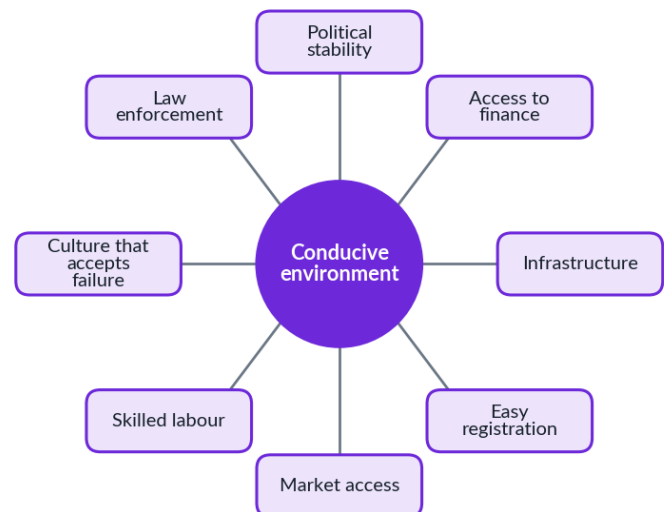


Creativity alone is not enough: a conducive environment (79 Ba, 73 Shr)

- **Political stability** and consistent policy.
- **Access to finance:** banks, venture capital, collateral-free loans.
- **Infrastructure:** power, roads, internet.
- **Easy registration**, low red tape, fair tax.
- **Market access**, skilled labour, education, incubators.
- **Culture** that accepts failure and risk.

Significance of law enforcement (73 Ch)

- Protects property and **intellectual property**.
- Enforces **contracts** → trust in business deals.
- Fair competition; controls cartels and corruption.
- Investor confidence → capital flows in.



Adhikari p254: what small scale industry achieves for a developing nation.

Entrepreneurship in Nepal's IT sector; would you start a startup; risks and challenges; Silicon Valley

3 5 8

PIN 3/29 76 Ash, 74 Ch, 69 Ch

Role in Nepal's IT sector (76 Ash)

- IT services exports (outsourcing, software) earn foreign currency with little capital.
- Jobs for graduates at home, slowing brain drain.
- Digital services: payments (eSewa, Khalti), ride sharing (Pathao), e-commerce (Daraz), ed-tech.
- Solutions for local problems in agriculture, health, government.

Would I start one after graduation? (74 Ch)

- **Yes, with preparation:** gain 2–3 years' industry experience and savings, validate the idea, find a co-founder, start lean.
- **Or no:** if family needs steady income or the idea is untested. Either answer works if justified.

Risks and challenges for an aspiring entrepreneur in Nepal

- Small domestic market; low purchasing power.
- Scarce seed and venture capital; banks want collateral.
- Restrictions on international payments and foreign investment in small amounts.
- Policy instability, bureaucracy, strikes.
- Talent loss to migration; social stigma of failure.
- Weak IP protection; infrastructure gaps outside cities.

Silicon Valley: the best example (69 Ch)

- Stanford University research + venture capital + risk-taking culture + skilled migrants + network effects.
- Produced Apple, Google, Intel, HP; failure accepted as learning.
- Lesson for Nepal: link universities, investors and startups in clusters.



Silicon Valley from the air. Photo: Patrick Nouhailler, Wikimedia Commons, CC BY-SA 2.0.

3.5 PYQ Mapping

Theory questions, covered in this document

- **Define motivation; human needs; how needs motivate; intrinsic motivation** → §3.1. 16 papers, the opener to most theory questions.
- **Techniques of motivation; attitude, group, executive motivation; role of management** → §3.1. 9 papers.
- **Maslow** (features, satisfaction progression, Devkota 69 Ch, falling from grace 78 Bh) → §3.2. 9 papers.
- **Maslow vs ERG; ERG and Herzberg vs Maslow; satisfaction-progression vs frustration-regression** → §3.2. 82 Ba 6, 78 Bh 3, 75 Ch 4, 71 Shr 5, 69 Ch 4, 68 Ch 5
- **McGregor X-Y** 81 Bh 5, 81 Ba 5, 79 Ba 6, 73 Shr 5, 72 Ch 8, 65 Shr 5 → §3.2.
- **Herzberg** (10 papers) and **Vroom** (7 papers) → §3.2.
- **Fear and punishment** 82 Bh 4; **McClelland:** syllabus, never set → §3.2.
- **Leadership: definition, need, qualities** → §3.3. 12 papers.
- **Styles; best style for engineering project / industry / Nepal / start-ups; participative management** → §3.3. 11 papers.
- **Managerial grid** 82 Bh 4, 80 Bh 4, 79 Ba 4, 76 Ash 8, 75 Ash 8, 70 Ch 5 → §3.3.
- **Leadership approaches: trait, behavioural, contingency, integrated** → §3.3. 7 papers.
- **Leader vs manager / boss; reader is leader; modern challenges; career vision** → §3.3. 75 Ch, 75 Ash, 73 Ch, 71 Ch
- **Authority and power** 66 Bh 5 → §3.3.

- **Entrepreneurship: meaning, characteristics** (8 papers); **small scale unit steps** 81 Bh 5, 79 Bh 4, 71 Shr 5 → §3.4.
- **Promotion of entrepreneurship, economic role, Nepal, environment, law** (7 papers); **IT sector, startups, Silicon Valley** 76 Ash, 74 Ch, 69 Ch → §3.4.

Short-note prompts placed here (2065–2068 ones from the Detailed PYQ's "Extra" section)

- Leadership style 68 Ba; contingency approach of leadership 66 Bh; satisfaction-progression vs frustration-regression 75 Ch, 69 Ch; entrepreneurial characteristics 79 Bh.
- 81 Bh's "State Maslow's need theory with examples [3]" sits in Ch. 1 of the Detailed PYQ; answered here.

Numerical content

- **This chapter has no numerical component.** Vroom's $M = E \times I \times V$ is the only formula, used qualitatively.

Corrections to the source notes

- AJ Sir slide 10: Maslow is 1943 ("A Theory of Human Motivation"), not "the 1940s"; slide 25: the grid's co-author is **Jane** Mouton, not "Jake".
- Adhikari p213: fear and punishment slide is criminal deterrence (workplace version above); p249: McClelland was at Harvard, not "Horward".

Figures

- Cropped: Adhikari's notes (pp197, 201, 215, 217, 219, 221, 224, 228, 238, 241, 247) and ioenotes Ch. 3 p13.
- Generated (ch3fig.py) for lists and processes with no source picture.
- Wikimedia Commons: ERG diagram (Upul, vectorized by Sushant Savla, CC BY-SA 4.0); Silicon Valley aerial (Patrick Nouhailler, CC BY-SA 2.0).

Abbreviations, chips and month codes

Only these are ever shortened. Anything not on this list is written out in full.

Short	Means	Short	Means
JSC	joint stock company	MNC	multinational company
HR, HRM	human resource (management)	OB	organizational behaviour
MBO	management by objectives	CEO, MD	chief executive officer, managing director
AGM	annual general meeting	ESOP	employee share ownership plan
MoA, AoA	memorandum / articles of association	OCR	Office of the Company Registrar
SEBON	Securities Board of Nepal	NEPSE	Nepal Stock Exchange
IPO	initial public offering	PAN, VAT	permanent account no., value added tax
NEA	Nepal Electricity Authority	NOC	Nepal Oil Corporation
QC	quality control	R&D	research and development
OR	operations research	ROI	return on investment
CIM	computer integrated manufacturing	FMS	flexible manufacturing system
CAD, CAM	computer aided design / manufacturing	CAPP	computer aided process planning
CNC	computer numerical control	AGV	automated guided vehicle
MIS	management information system	IT	information technology
SaaS	software as a service	BPO	business process outsourcing
CSR	corporate social responsibility	POSDCoRB	plan, organize, staff, direct, coordinate, report, budget

Short	Means	Short	Means
no.	number	info	information
vs, Vs	versus	Eg	example / for example
+Fig	draw a figure	(I)	importance / need / significance
→	leads to / therefore	+	and
=	is / equals	min, max	minimum, maximum
Ch.	chapter	§	section

Chip	Means (29 papers, 2065–2082 BS)
TOP n/29	asked in 8 or more papers
HOT n/29	asked in 4 to 7 papers
PIN n/29	asked in 1 to 3 papers, inside an 8-mark question
LOW n/29	asked in 1 to 3 papers, as a 4-mark short note only
syllabus, no PYQ yet	in the syllabus, never examined
4+4	marks as printed; several chips = the question recurred at different marks
verified/added	researched and added beyond the lecture notes
80 Bh	bold year = Regular exam; plain = Back exam

Months: Ba = Baishakh, Jth = Jestha, Asa = Ashad, Shr = Shrawan, Bh = Bhadra, Ash = Ashwin, Ka = Kartik, Mng = Mangsir, Po = Poush, Ma = Magh, Ch = Chaitra. **Ash and Asa are different months.** **Sources:** AJ Sir = AJ Sir's lecture decks; Adhikari = Bikash Adhikari, *Organization and Management* slide notes; Joshi = S.K. Joshi, *Organization and Management*, A.K. Books.